Practice workbook · Exchange rates: meaning and what moves a currency

The exchange rate as the price of one currency in another, and how interest rates, speculators, trade flows and government currency dealing shift the demand for or supply of a currency.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-12

1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

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1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

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The rate of inflation in Cyprus decreased from 3.1% in September to 3% in October.

(c) Explain **one** reason why low and stable inflation is a macroeconomic objective for a country such as Cyprus.

(3)

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1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

In November 2018, the South African Monetary Policy Committee decided to increase interest rates by 0.25% to 6.75%. This decision affected the currency of South Africa, the Rand.

(d) Analyse the likely impact of an increase in interest rates on the currency of South Africa.

(6)

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1. Question 3 · part d · 6 marks

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Worked-example retry · Attempt part d only.

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QUESTION 3(e) BEGINS ON PAGE 18

1. Question 3 · part d · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part d only.

US President Donald Trump introduced lower business taxes in the hope of making the US more competitive globally. In 2017, business taxes in the US were 35% and a new lower rate of 21% was introduced in 2018. Donald Trump has plans to lower this to 15% in the future.

Business tax rates for selected OECD* countries 2018 (%)

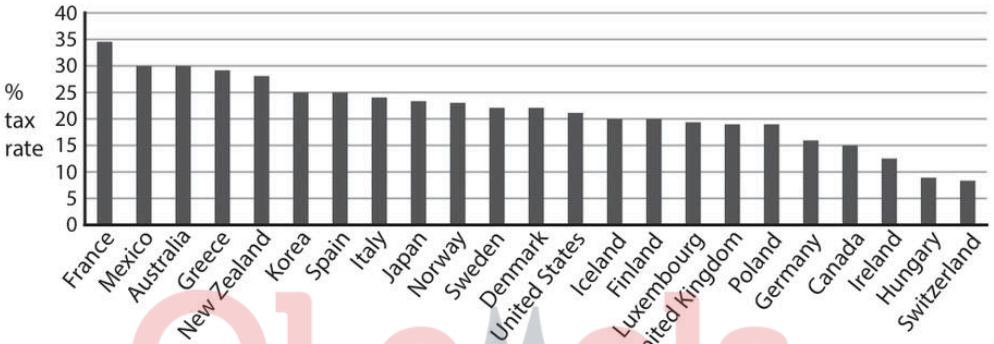


Figure 3

***OECD: Organisation for Economic Cooperation and Development.**

(Source: https://stats.oecd.org/index.aspx?DataSetCode=TABLE_II1)

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of lower business taxes in stimulating investment in a country such as the US.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following policies is most likely to reduce the rate of inflation?

(1)

- ☒ **A** Lower interest rates
- ☒ **B** Increased money supply
- ☒ **C** Higher government spending
- ☒ **D** Higher taxation

(b) In an exchange rate system with no government intervention, a decrease in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

In 2018, the annual rate of inflation in Egypt was 16% in September and 17.7% in October.

(c) Explain **one** likely impact of this change in inflation on the current account of the balance of payments for a country such as Egypt.

(3)

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

The demand for the US$ changed following the publication in 2019 of the latest US growth rate report.

(d) Analyse the impact of currency speculators on the supply and demand of the currency for a country such as the US.

(6)

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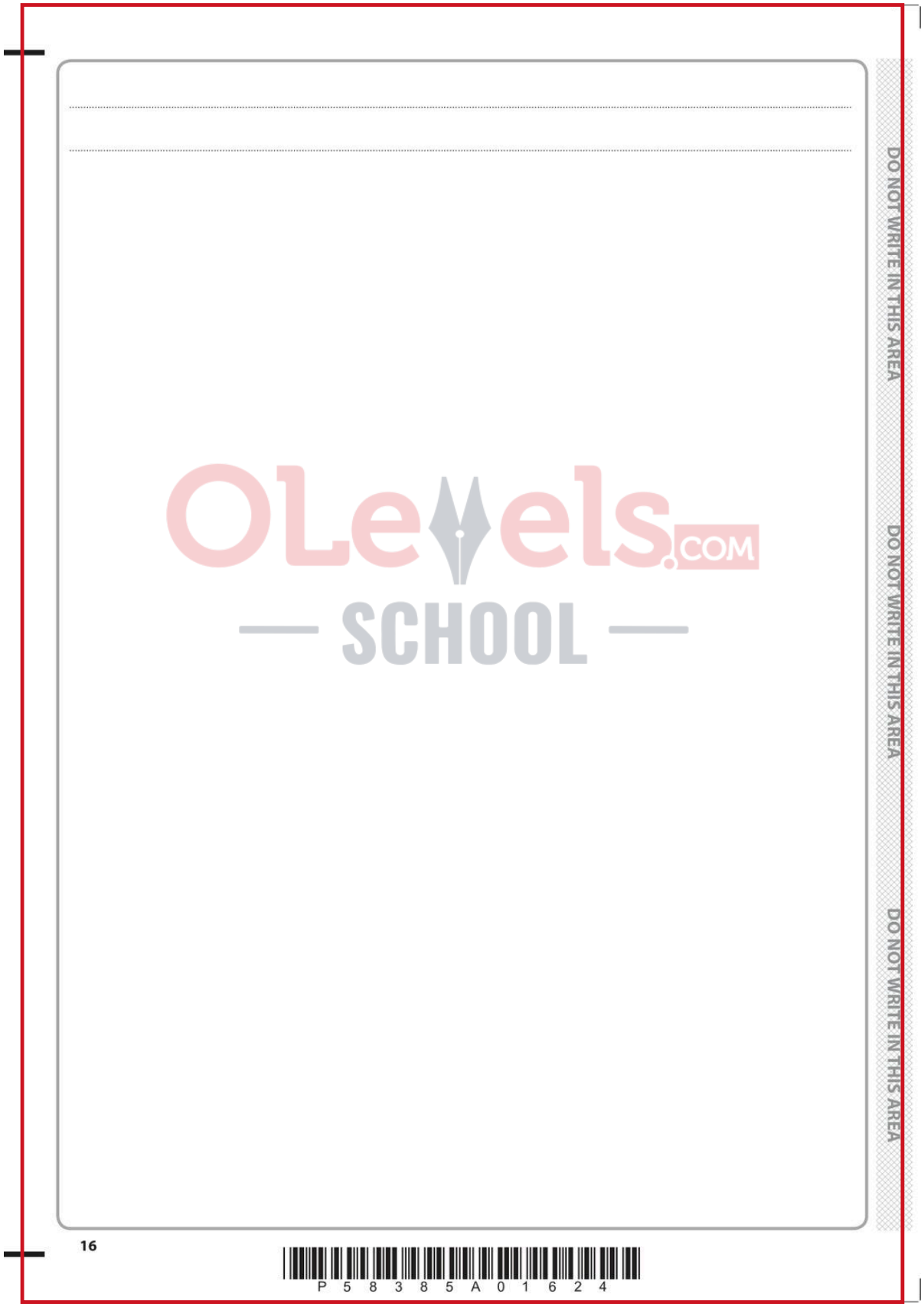
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Turn over

2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.



2. Question 3 · part d · 6 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part d only.

In Western Australia, single-use plastic bags were banned in July 2018 but fines were not enforced. However, from 2019, under new regulations, any shops providing customers with the banned plastic bags may face prosecution, with fines of up to AUS$5 000. The government is relying on shoppers to report retailers that break the rules.

The Environment Minister Stephen Dawson said the ban is well supported by the community. He said "Taking plastic bags out of litter is a significant step towards protecting our environment".

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of regulation to protect the environment in a country such as Australia.

(9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 2 · part d · 2 marks

2020 NOV · Paper 02

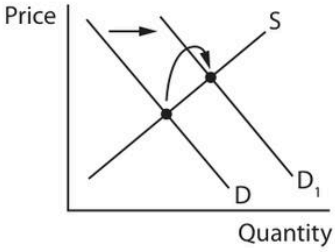
Further practice · Attempt part d only.

2 In 2019, India introduced tariffs against US agricultural products including apples, almonds and lentils.

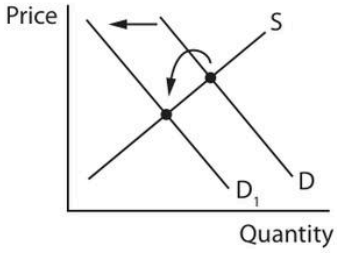
(a) Which **one** of the following diagrams shows the Indian market for apples, almonds and lentils following the introduction of the tariffs?

(1)

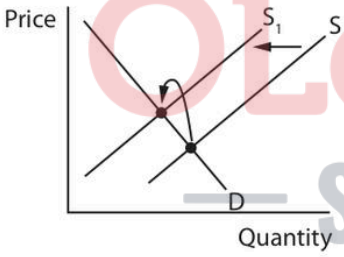
☒ **A**



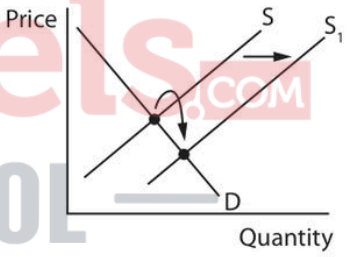
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part d · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

(b) Which supply-side policy involves the removal of government controls?

(1)

- ☒ **A** Deregulation
- ☒ **B** Education and training
- ☒ **C** Lower business taxes
- ☒ **D** Infrastructure spending

(c) State **one** disadvantage of free trade.

(1)

(d) What is meant by the term exchange rate?

(2)

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3. Question 2 · part d · 2 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

In 2018, Germany had a current account surplus of €268bn. Germany uses the euro (€) which had recently weakened against other major currencies.

(e) Explain **one** reason why a fall in the value of the euro (€) may have resulted in a positive impact on Germany's current account.

(3)

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3. Question 2 · part d · 2 marks · Working and answer

Working and answer

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4. Question 3 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

3 Figure 3 shows selected UK Government receipts from taxation in 2019.

	£bn
Sales tax (VAT)	186.3
Income tax	268.3
Tariffs	31.9
Business tax	53.4

Figure 3

(a) What is the total amount of revenue raised by direct taxes?

(1)

- ☒ **A** £454.6bn
- ☒ **B** £321.7bn
- ☒ **C** £218.2bn
- ☒ **D** £85.3bn

(b) A government can try to stop its exchange rate from appreciating by

(1)

- ☒ **A** increasing interest rates
- ☒ **B** selling its reserves of foreign currency
- ☒ **C** buying its own currency
- ☒ **D** selling its own currency

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4. Question 3 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

The Government of Bangladesh provides subsidies of between 2% and 4% on the export of clothing. In 2019, it introduced additional subsidies of up to 10% for the export of 10 new products including home appliances.

(c) Explain **one** advantage of using subsidies for a country such as Bangladesh.

(3)

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4. Question 3 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is an example of cyclical unemployment?

(1)

- ☒ **A** Factory workers lose their jobs as more machines are used
- ☒ **B** Hotels employ fewer workers in the winter months
- ☒ **C** Workers are waiting to start a new job
- ☒ **D** An airline cuts jobs during a global recession

(b) A decrease in the exchange rate caused by government intervention is known as

(1)

- ☒ **A** depreciation
- ☒ **B** devaluation
- ☒ **C** revaluation
- ☒ **D** appreciation

(c) What is meant by the term exports?

(2)

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(d) Describe **one** impact that education may have on inequality and poverty.

(2)

The consumer price index (CPI) was 110.2 in 2019 and the base year was 100 in 2015.

(e) Calculate how much **inflation** there has been between 2015 and 2019. You are advised to show your working.

(2)

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In 2020, the UK Government introduced subsidies for firms that provide renewable energy.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

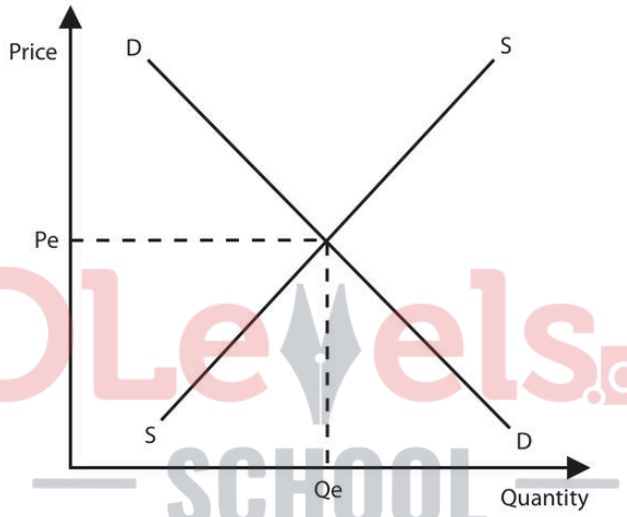


Figure 1

In March 2020, the Bank of England reduced interest rates from 0.75% to 0.10%. This decision affected the UK pound (£).

(g) Explain the likely impact of a decrease in UK interest rates on the UK pound (£).

(3)

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5. Question 1 · part g · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

In March 2020, the European Union (EU) and Vietnam reached a free trade agreement.

(h) With reference to the data above and your knowledge of economics, analyse the disadvantages of free trade for domestic businesses located within this free trade area.

(6)

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(Total for Question 1 = 20 marks)

5. Question 1 · part g · 3 marks · Working and answer

Working and answer

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

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6. Question 1 · part d · 2 marks · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

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(d) What is meant by the term economic growth?

(2)

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7. Question 2 · part b · 1 mark · Working and answer

Working and answer

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